THE AGE

OPINION

The unexpected winner of the AI boom? Your arts degree

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It sometimes feels like arts degrees are the punching bag of Australian higher education. The connotation of "useless" arts degrees is hard to miss, a view cemented in policy when the Morrison government raised the price of arts degrees to over $50,000 in 2020.

Cheekily titled the "Job-ready Graduates Package", it hiked arts degrees by 113 per cent to cost the same as commerce and law degrees, even though graduates from the latter fields earn 40 to 70 per cent higher median income five years post-graduation.

The field of "arts" or "humanities" is incredibly broad, encompassing history, philosophy, economics, languages, fine art, and much more. LOUISE KENNERLEY

However, the recent introduction of generative AI models like ChatGPT and Claude is predicted to disrupt the labour market in multiple ways. Advancing at an incredibly fast pace, they can now write books, build apps, produce life-like images, and much more.

Anthropic cofounder Jack Clark – whose firm developed leading AI chatbot Claude – recently argued that current university students shouldn't write off arts degrees. He claimed that his English literature degree was "extremely relevant for AI", and that "knowing the right questions to ask" will be more important than "rote programming" in a post-AI world.

So, will AI *really* make arts degrees more valuable? The honest answer is: not automatically. Professor David Autor from the Massachusetts Institute of Technology (MIT) is widely considered to be the leading voice on the impact of AI on the workforce.

He tells me that it is "difficult to anticipate" exactly how AI will affect the labour market as a whole, let alone how it might change the value of arts degrees. But while there is much uncertainty, Autor offers a useful insight: AI is more likely to transform tasks than whole occupations overnight.

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He thinks of jobs as bundles of different activities. Some are menial and simple while others require higher-level cognition and critical thinking.

For example, take a communications graduate in a writing-heavy role. AI may help them reduce the time they spend on transcription, summarising, and formatting. But higher complexity tasks like communicating with a client, shaping a message for a specific audience, and perfecting nuance and tone will be much harder to replace.

Because these graduates would spend a larger proportion of their time on higher-value tasks, their productivity would likely increase. The upside of this means that they might get paid more, but the downside could mean that the firm wouldn't need to hire as many graduates next year.

Still, Autor provides some optimism for those who are worried about downside risks of AI. He notes that technological change is often disruptive in the short run but has historically been positive overall for living standards and employment opportunities, while also creating new jobs that would have been impossible to predict in advance.

People have always been worried about the impacts of new technologies, from robots, to computers, to the internet. But with the benefit of hindsight, it is difficult to argue that these innovations were not net positive overall.

That said, Autor cautions that while he's "optimistic about new work, we cannot count on it arriving on time, or in sufficient quantities".
Yet despite the difficulty of predicting the impact of AI on the workforce, Autor is unequivocal when he says "Yes, AI will increase the value of humanities skills". However, he caveats that "those skills must be paired with substantive knowledge in a specific domain".

This is the key distinction. AI may increase the value of humanities skills, but that does not mean every arts degree will become a golden ticket for employability.

It is also important to remember that the field of "arts" or "humanities" is incredibly broad, encompassing history, philosophy, economics, languages, fine art, and much more. The exact topics a graduate has studied within their degree are often important for employers.

For example, the Big Four accounting firms regularly hire graduates who hold a Bachelor of Arts with a major in economics. This may be more difficult for literature majors, but it certainly isn't unheard of.

Beyond choosing job-ready majors, graduate employers often place a lot of weight on prior work experience and co-curricular activities. Having an internship within the industry is often preferred, but leadership experience (e.g., shift manager at the local supermarket) is also a strong signal.
At the end of the day, choosing a degree should depend on academic and personal interest, not just job readiness. But employability outcomes are still vital to setting oneself on a good life path.

As AI democratises the workforce – by removing barriers to technical skills like mathematics and coding – being adaptable and staying up to date with AI tools may end up being more important than the degree you studied.

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